

Racial Disparities

Economics of Public and Social Issues

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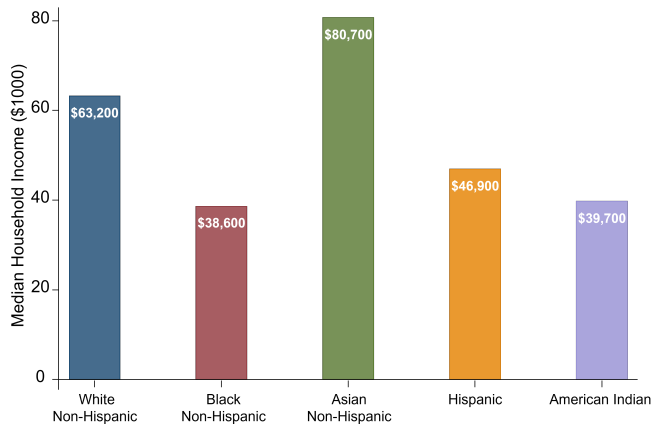
2026-04-08

Plan for today

- ▶ Intergenerational Perspective of Racial Disparities
Reference: *Chetty, Hendren, Jones, Porter. "Race and Economic Opportunity in the United States: An Intergenerational Perspective" QJE 2020*

An Intergenerational Perspective on Racial Disparities

Median Household Income by Race and Ethnicity in 2016



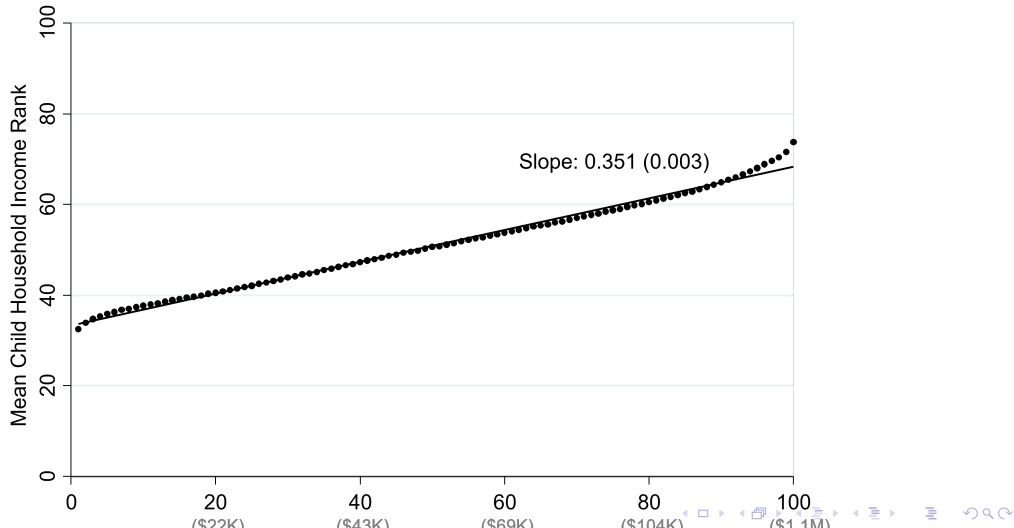
Source: American Community Survey 2016

An Intergenerational Perspective on Racial Disparities

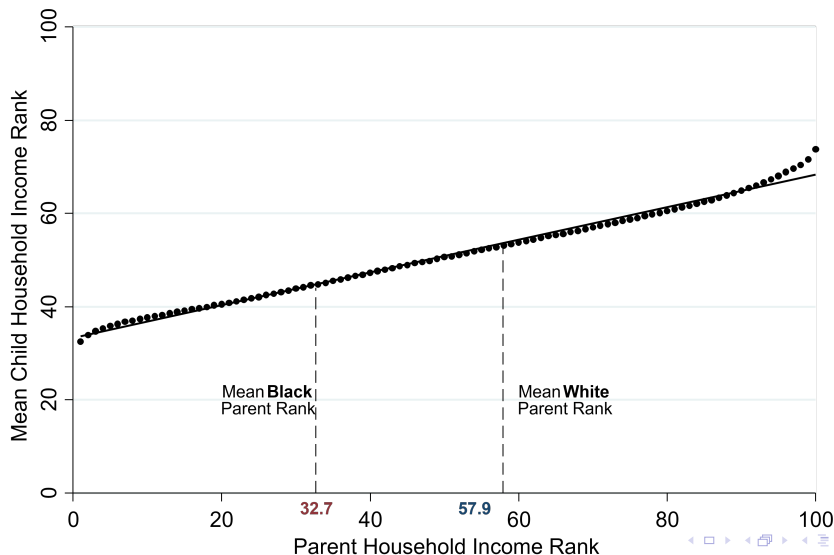
- ▶ Most prior work has studied racial disparities within a single generation
- ▶ We will take an intergenerational perspective, focusing on dynamics of income across generations
- ▶ Intergenerational approach sheds light on which disparities will persist in the long run and allows us to isolate the factors that drive persistent gaps
 - ▶ Methods: dynamics of income and steady states

Intergenerational Mobility in the United States

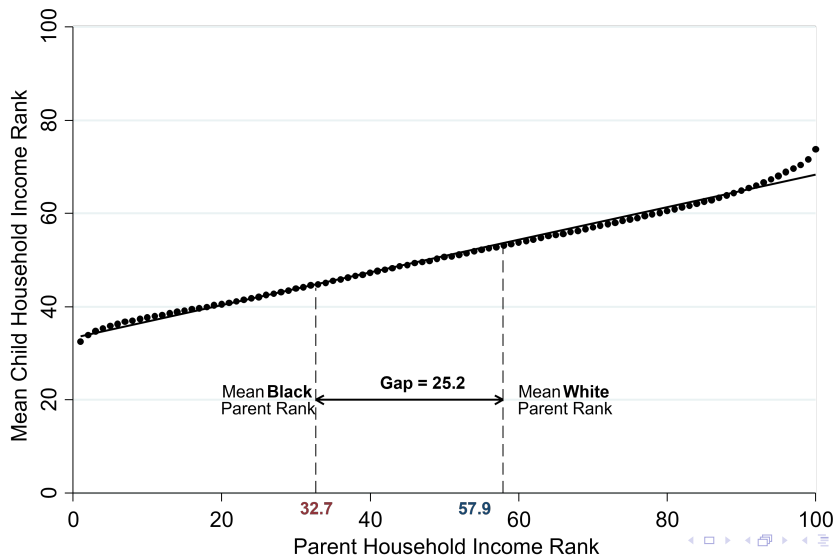
Mean Child Household Income Rank vs. Parent Household Income Rank



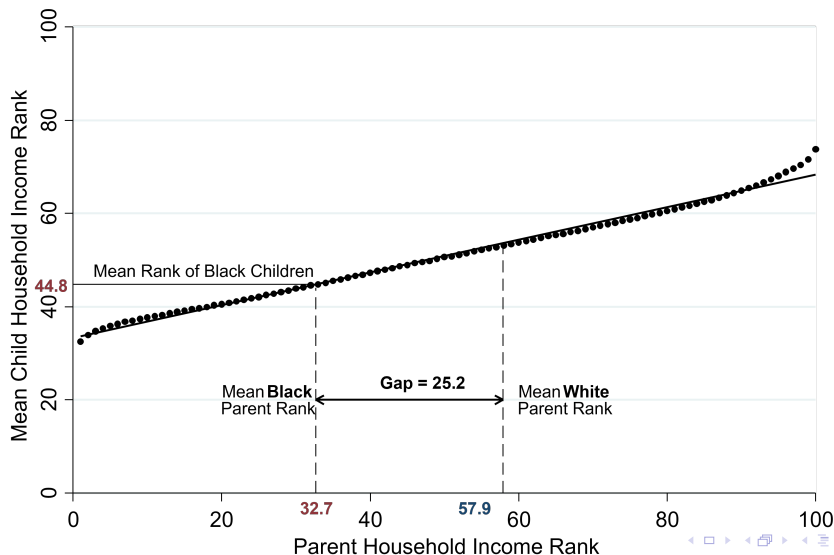
Convergence in Black-White Gap if Intergenerational Mobility is Race-Invariant



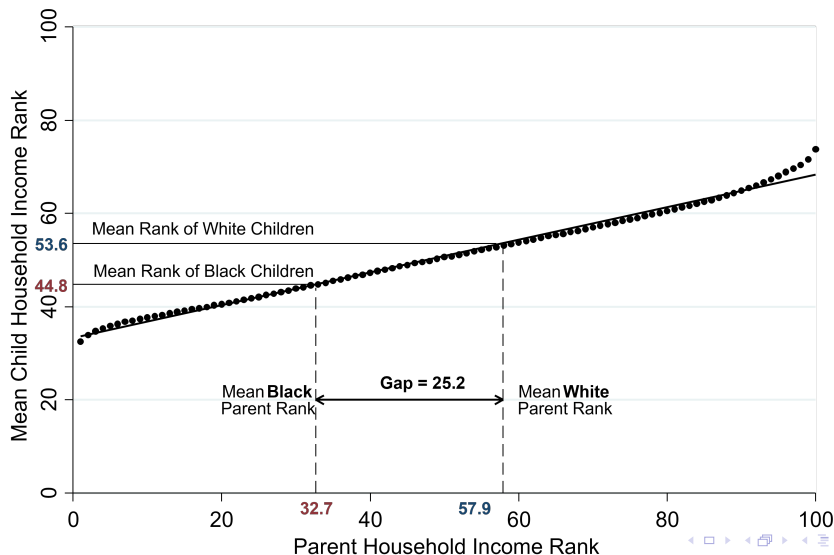
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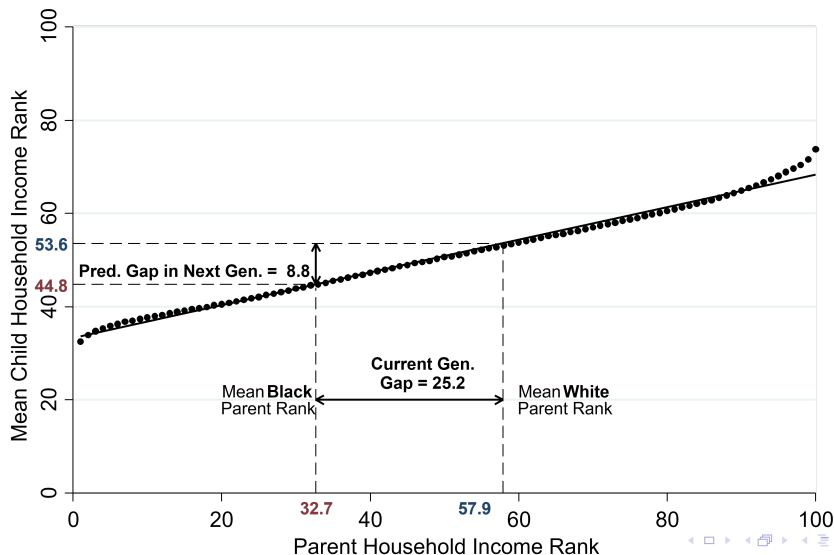
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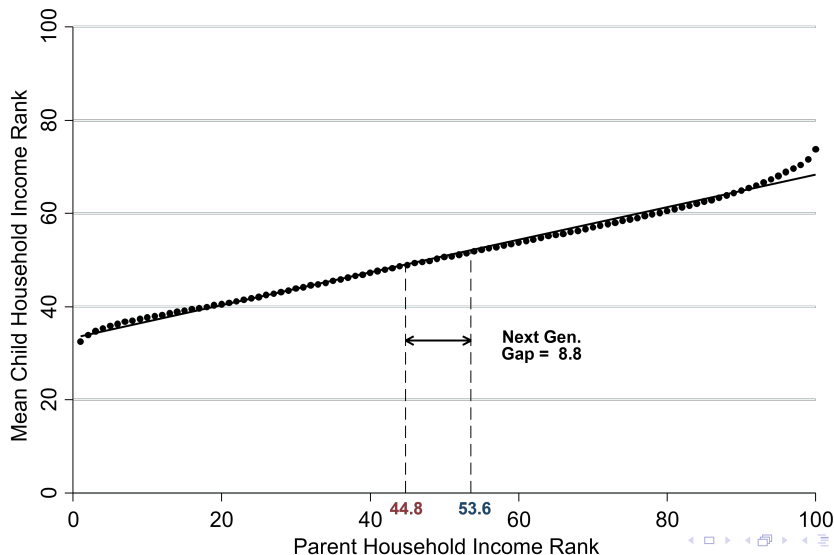
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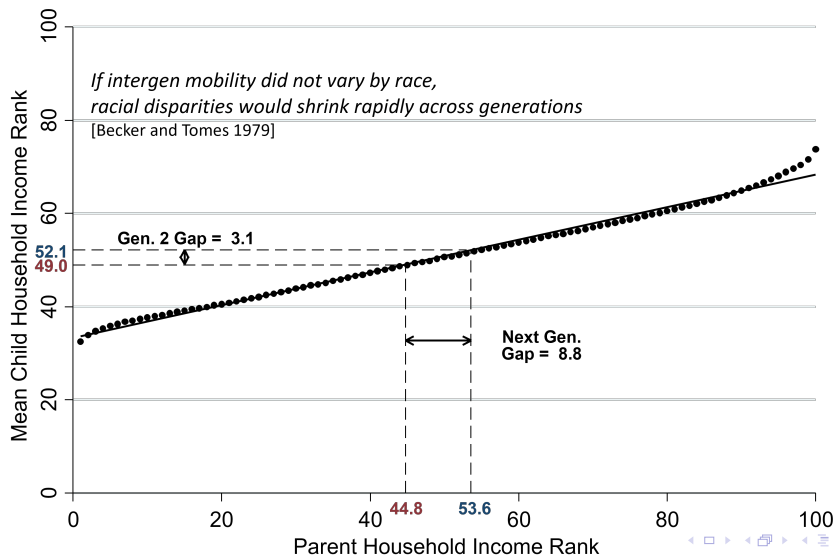
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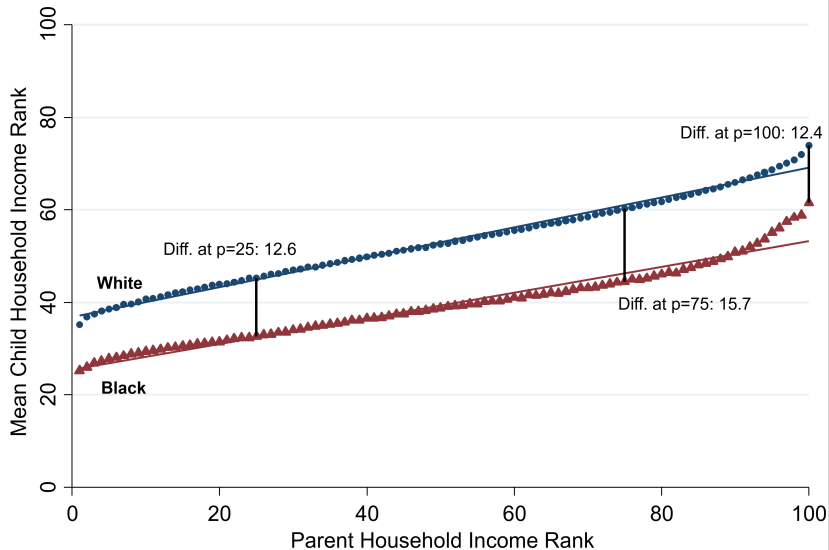
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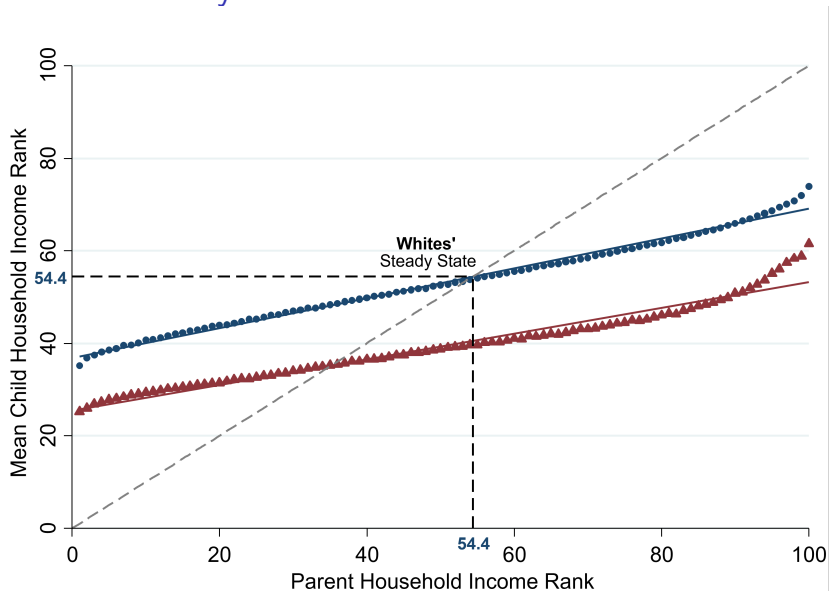
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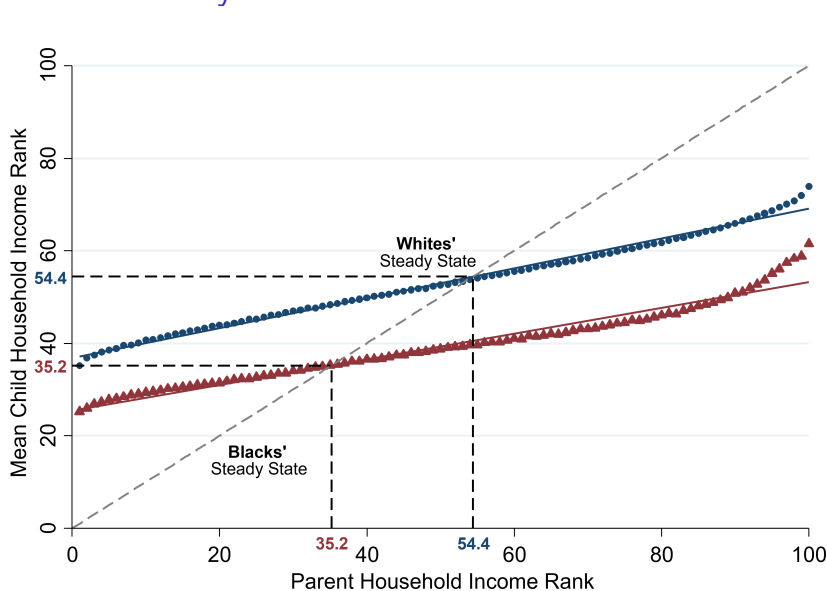
Intergenerational Mobility for Whites vs. Blacks



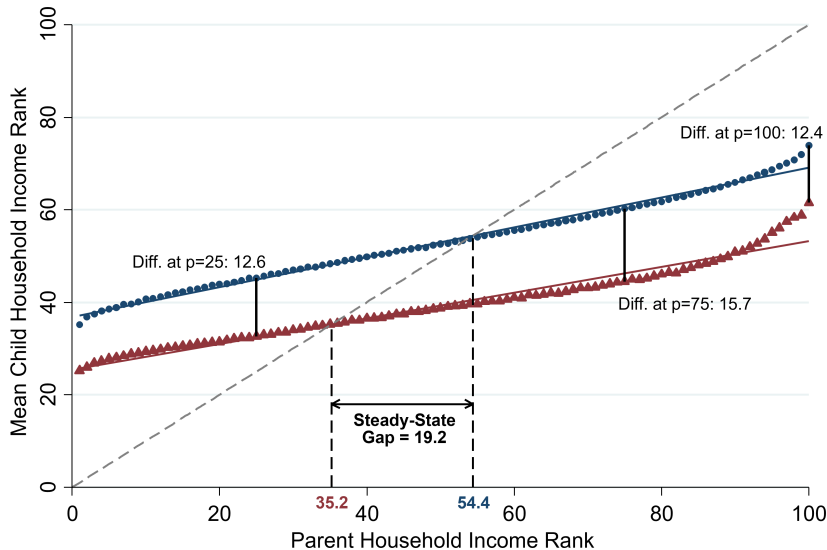
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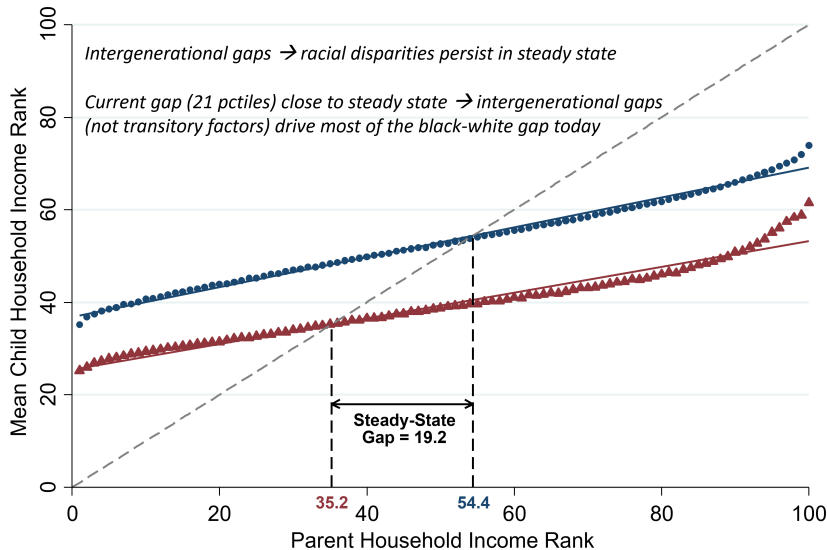
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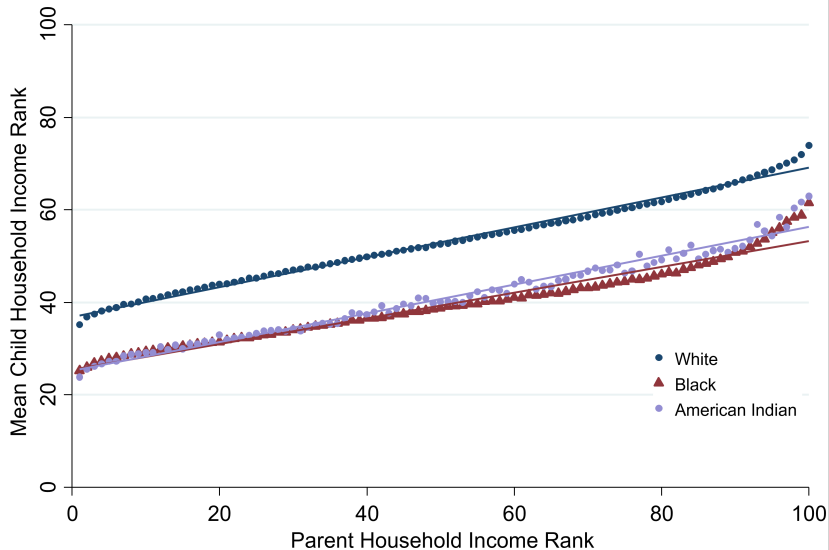
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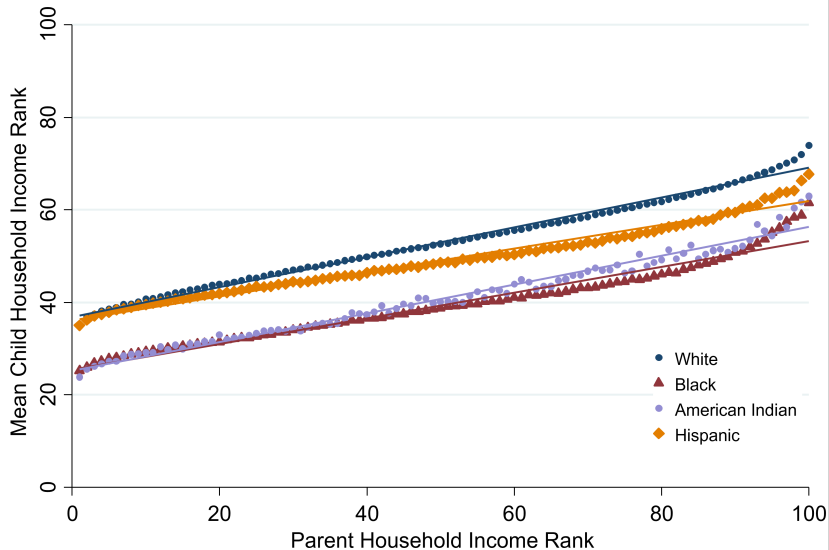
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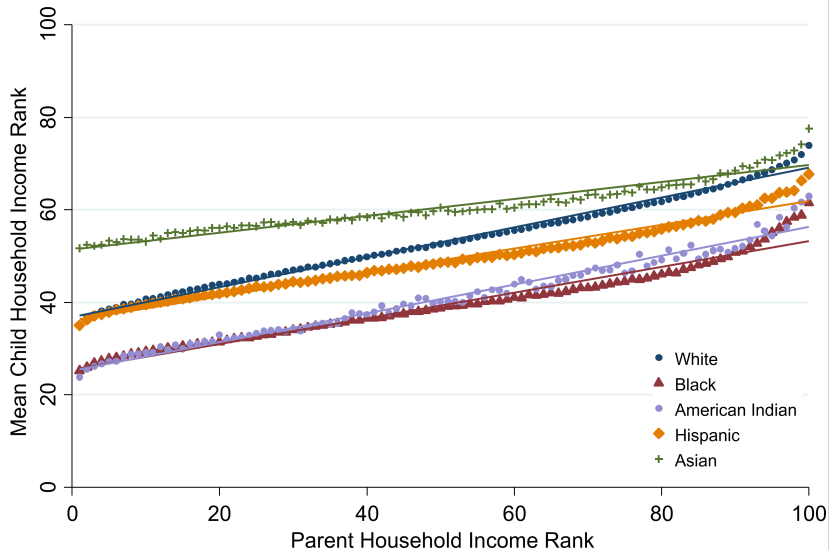
Mean Child Income Rank vs. Parent Income Rank by Race and Ethnicity



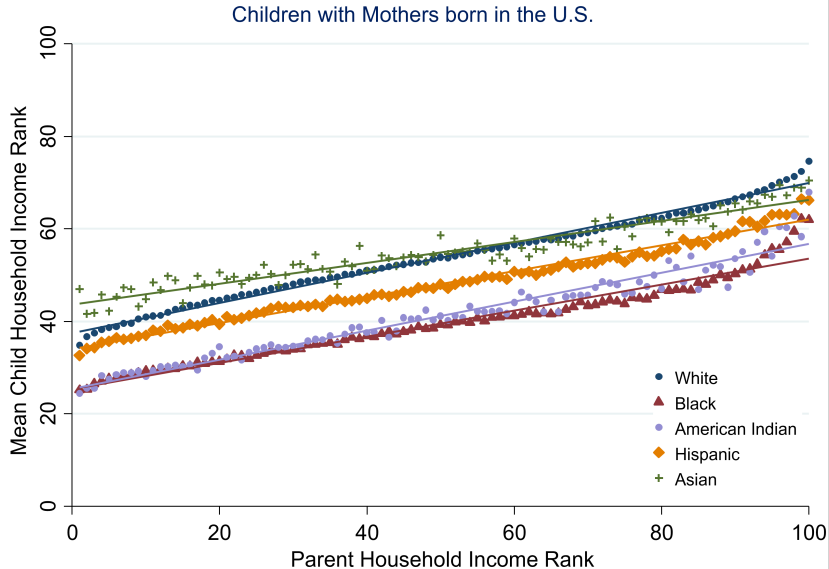
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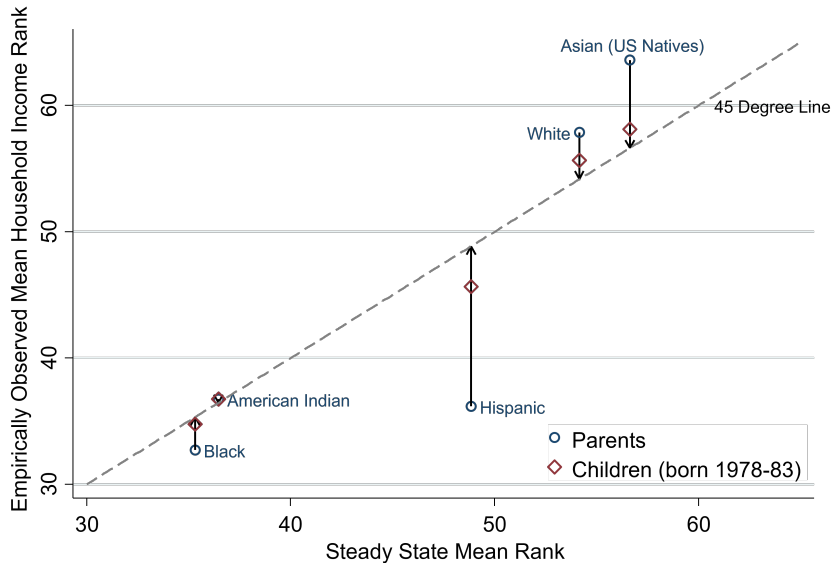
Mean Child Income Rank vs. Parent Income Rank by Race and Ethnicity



Mean Child Income Rank vs. Parent Income Rank by Race and Ethnicity



Current Mean Ranks vs. Predicted Ranks in Steady State, by Race



Intergenerational Persistence of Racial Disparities

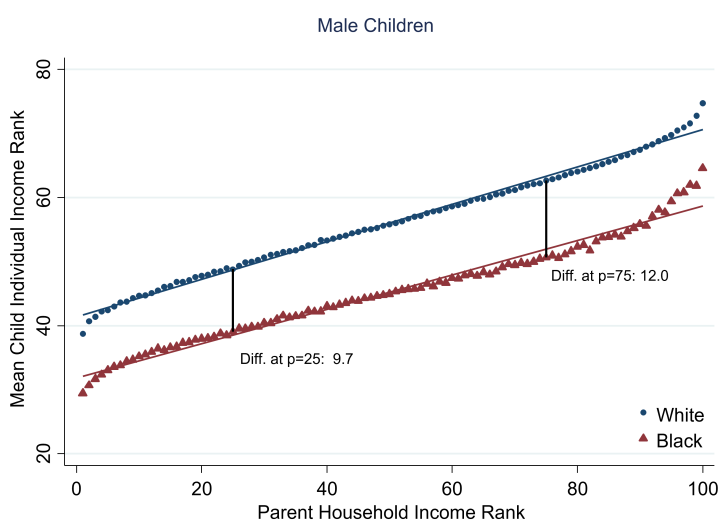
- ▶ Black Americans are close to their long-run steady-state
 - ▶ Suggests that intergenerational gaps (not transitory factors) drive most of the black-white gap today
- ▶ Addressing the black-white gap therefore requires understanding sources of intergenerational gaps
 - ▶ Why do black children earn less than white children who grow up in families with comparable incomes?

Gender Differences in Racial Gaps

- ▶ First step in understanding this: examine differences by gender
- ▶ Focus on individual (own) income for this analysis, excluding spousal income

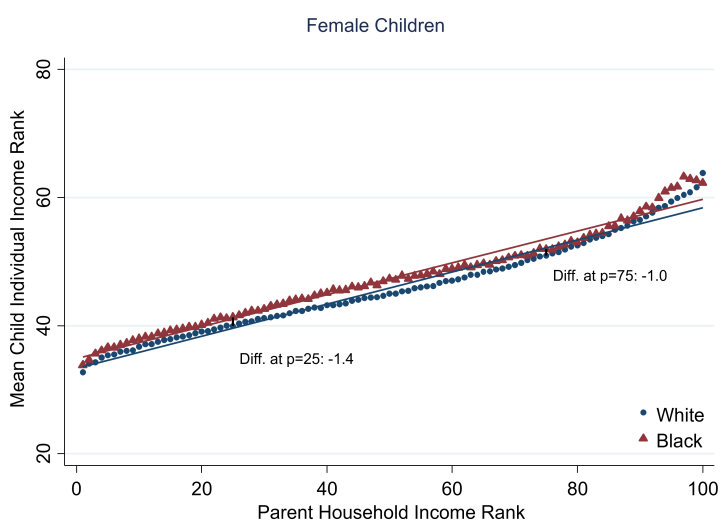
Black-White Gap in Child Individual Income Rank vs. Parent Income Rank

Male Children



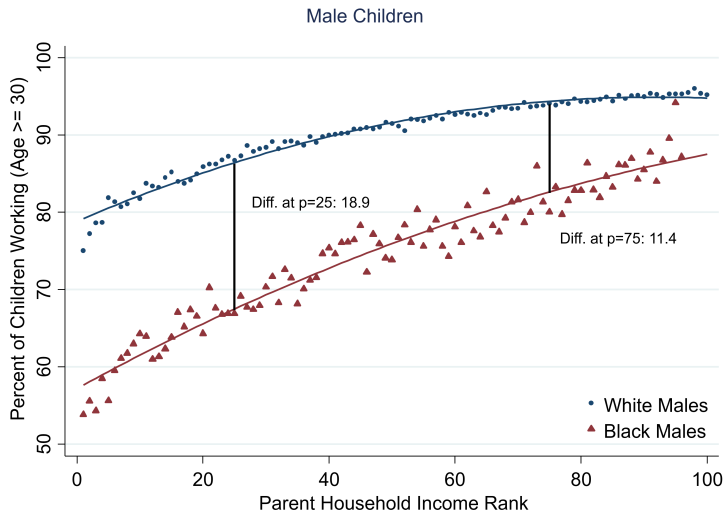
Black-White Gap in Child Individual Income Rank vs. Parent Income Rank

Female Children

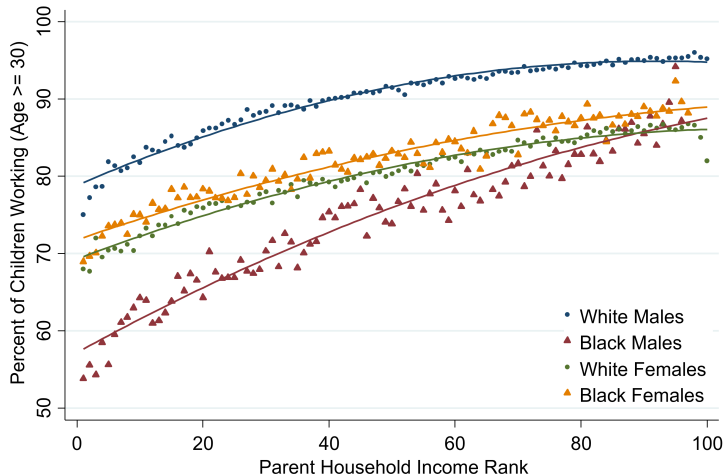


Employment Rates vs. Parent Income Rank

Male Children

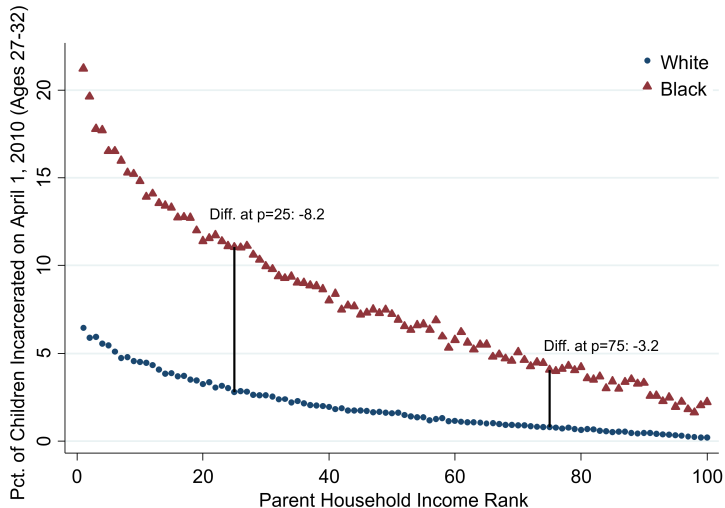


Employment Rates vs. Parent Income Rank



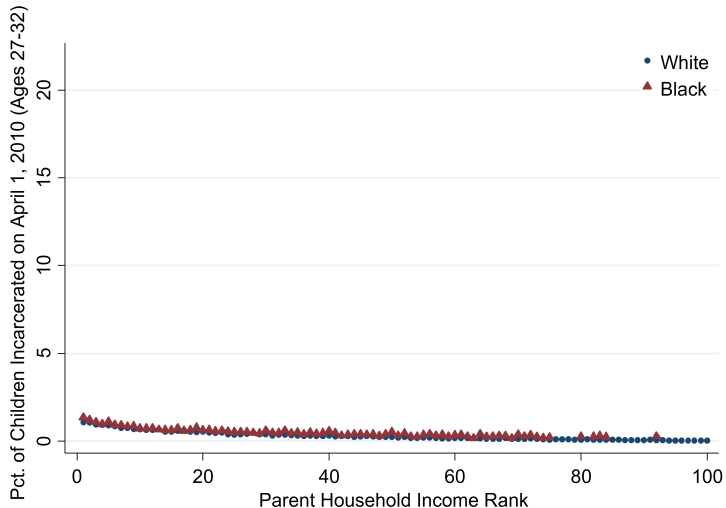
Incarceration Rates vs. Parent Income Rank

Male Children



Incarceration Rates vs. Parent Income Rank

Female Children



Explaining the Black-White Intergenerational Income Gap

Family-Level Factors:

- ▶ Do family-level factors (e.g., parental wealth, education, etc.) explain the black-white intergenerational gap?
 - ▶ No: Black men who grow up in two-parent families with comparable income, education, and wealth to white men still fare worse
- ▶ Suggests that environmental factors beyond the family matter
- ▶ Study the role of environmental factors by analyzing differences in black-white gaps across neighborhoods

The Geography of Upward Mobility in the United States

The Geography of Upward Mobility in the United States

Average Household Income for Children with Parents Earning \$27,000 (25th percentile)

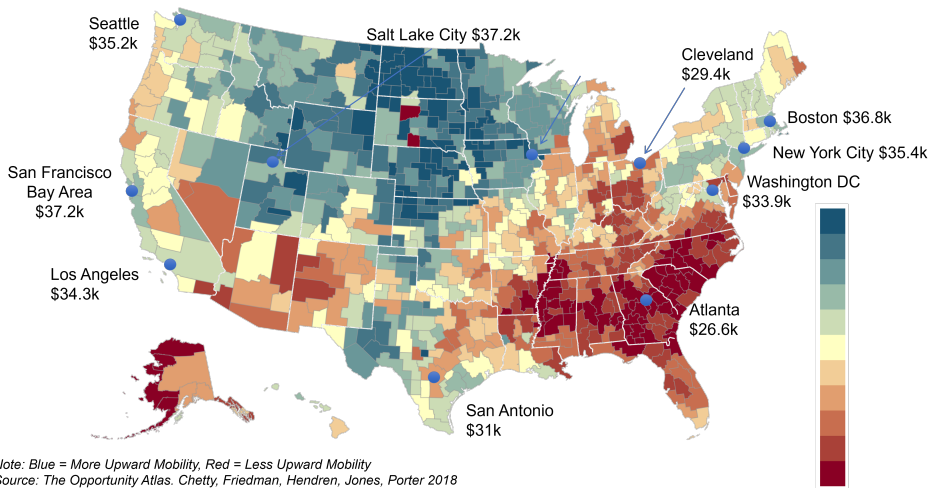
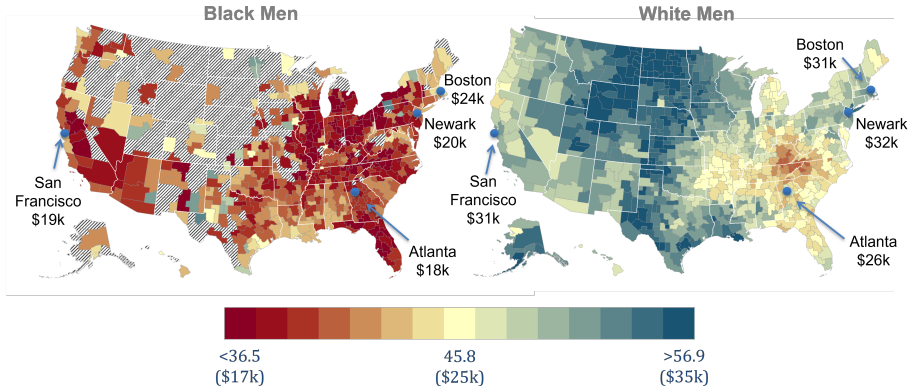


Figure 1: Source: [Chetty, Friedman, Hendren, Jones and Porter \(2018\)](#)

Two Americas: The Geography of Upward Mobility by Race

Average Individual Income Rank for Boys with Parents Earning \$25,000 (25th percentile)



Note: Green = More Upward Mobility, Red = Less Upward Mobility; Grey = Insufficient Data

Neighborhood Environments and the Black-White Gap

- ▶ Commuting-zone level variation illuminates broad regional patterns but does not directly test for “neighborhood” effects
- ▶ Blacks live in different neighborhoods from whites within CZs
- ▶ Zoom in to examine variation across Census tracts

Variation in the Black-White Earnings Gap Across Tracts

Four key results:

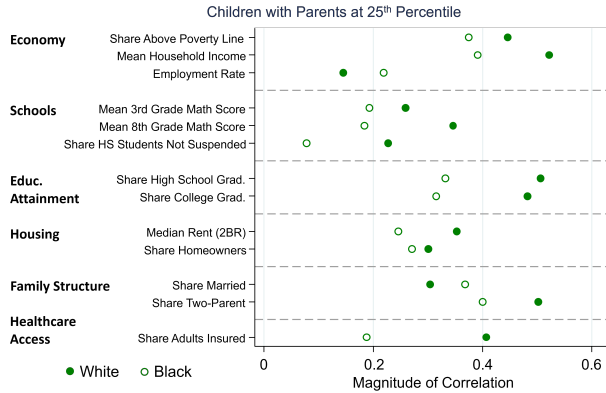
1. Black boys have lower earnings than white boys in 99% of Census tracts in America, controlling for parental income

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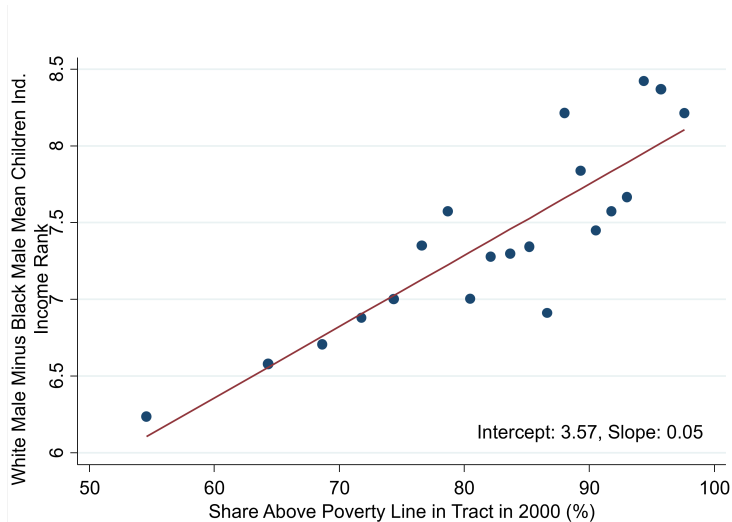
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2. Both black and white boys have better outcomes in “good” (e.g., low-poverty, higher rent) neighborhoods, but the black-white gap is bigger in such areas

Correlations between Tract-Level Characteristics and Incomes of Black vs. White Men



Black – White Gap in Individual Income Ranks vs. Share Above Poverty Line

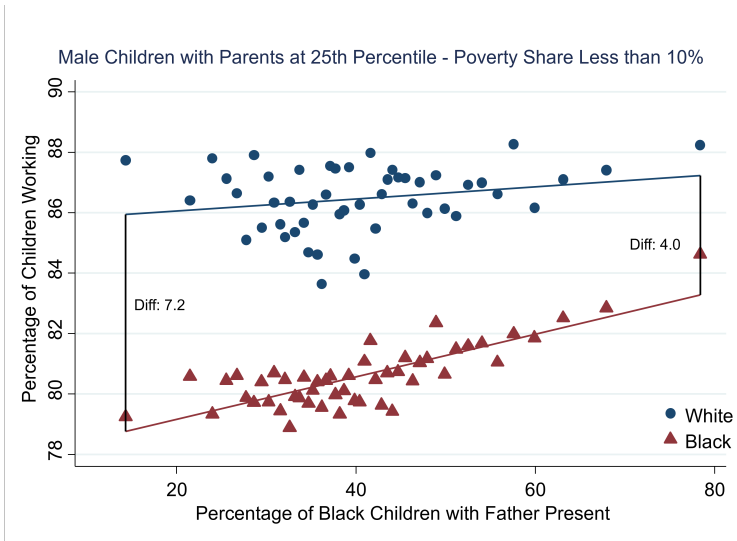


Variation in the Black-White Earnings Gap Across Tracts

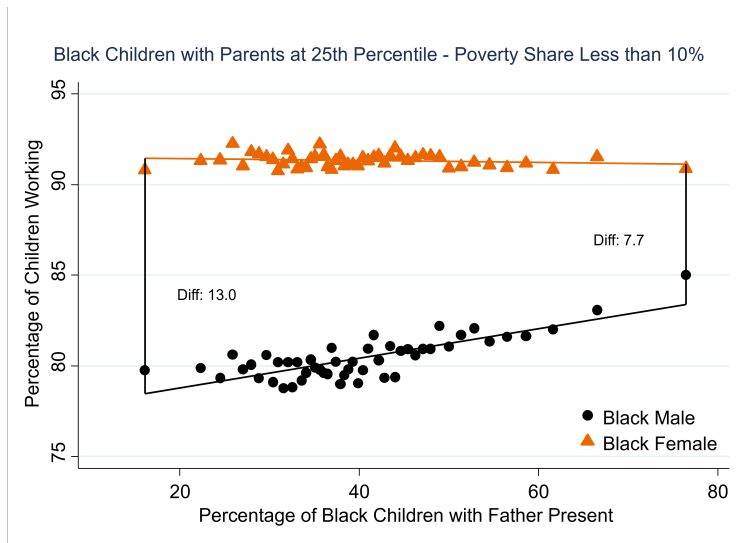
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3. Within low-poverty areas, there are two factors associated with better outcomes for black boys and smaller gaps: greater father presence and less racial bias

Black-White Gap in Employment Rates vs. Father Presence



Male-Female Gap in Employment Rates vs. Father Presence



Variation in the Black-White Earnings Gap Across Tracts

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4. Neighborhoods have causal childhood exposure effects on racial gaps: black boys who move to good areas at a younger age do better

Summary: Impacts of Neighborhood Environments on Black Men

- ▶ Black boys do well in nbhds. with good resources (low poverty rates) and good race-specific factors (e.g., high father presence, less racial bias)
- ▶ The problem is that there very few such neighborhoods in America...

Racial Wealth Gap

From income to wealth: why does it matter?

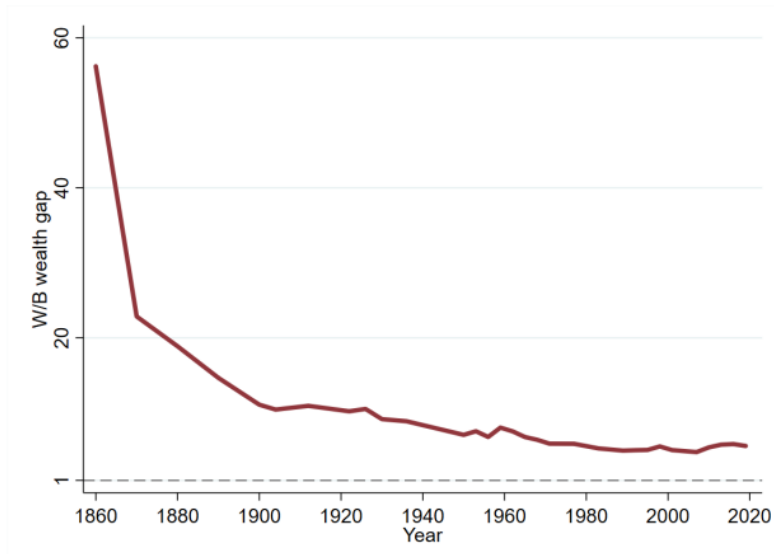
- ▶ So far everything we have looked at has been about **income**
- ▶ But the racial **wealth** gap is *much* larger than the income gap:
 - ▶ Black Americans earn about **50 cents** for every white dollar of income
 - ▶ But they hold only about **17 cents** for every white dollar of wealth
 - ▶ That is a white-to-Black wealth ratio of about **6 to 1** today
- ▶ Why is the wealth gap so much larger than the income gap? And why has it barely budged in the past 40 years?
Reference: *Derenoncourt, Kim, Kuhn, Schularick (QJE 2024) "Wealth of Two Nations: The U.S. Racial Wealth Gap, 1860–2020"*

The challenge: we had no long-run data

- ▶ Most existing work studies the wealth gap **today** — using the Survey of Consumer Finances (SCF)
- ▶ But we had very limited information about how the wealth gap **evolved** since Emancipation
- ▶ Derenoncourt et al. build the **first continuous series** of the white-to-Black per capita wealth ratio going back to 1860
- ▶ They combine three sources:
 1. **1860–1920**: Southern state tax records + historical censuses (digitized by the authors for this paper)
 2. **1930s**: Monroe Work's *Negro Year Book* + census of agriculture
 3. **1950–2020**: historical waves of the Survey of Consumer Finances (SCF+)
- ▶ With this new 160-year series they ask a simple question: **what has driven the evolution of the racial wealth gap?**

The big picture: a “hockey stick”

Figure 1: White-Black per capita wealth ratio: 1860-2020



Three distinct eras

Reading the hockey stick from left to right:

1. **1860: the wealth gap is 56 to 1.** On the eve of the Civil War, 89% of the Black population was enslaved and legally barred from owning any wealth. The average Black American had about **2 cents** for every white dollar of wealth
2. **1860–1870: gap falls from 56:1 to 23:1.** A stunning drop in a single decade — more than 50%
3. **1870–1950: slow but steady convergence.** The gap falls from 23:1 to about 7:1 despite the rise of Jim Crow, the Ku Klux Klan, and systematic exclusion from land, credit, and labor markets
4. **1950–1980: civil-rights-era acceleration.** Gap narrows to about 5:1
5. **1980–today: the gap stalls and then *widens* again.** Today it is back to about 6:1 — roughly where it was in 1950

What drove the 1860–1870 collapse?

- ▶ Obvious guess: **freeing enslaved people eliminated “slave wealth”** that had been counted as white wealth
- ▶ The authors compute: removing slave wealth from white wealth in 1860 drops the gap from 56:1 to **47:1**
- ▶ But the actual 1870 gap is **23:1** — eliminating slave wealth explains only about **27%** of the drop
- ▶ What explains the other 73%?
 - ▶ Land prices in the South collapsed after the war
 - ▶ Newly emancipated Black Southerners began rapidly accumulating property
 - ▶ Black per capita wealth **tripled** from \$13 to \$39 in one decade
- ▶ **Takeaway:** the post-Emancipation collapse in the gap is mostly a story of rapid *Black* wealth accumulation starting from almost nothing, not just accounting for slave wealth disappearing

A framework for thinking about wealth

- ▶ Wealth grows through two channels:
 1. **Savings:** you earn income, you save a share s of it, and that flow adds to your wealth
 2. **Capital gains:** the assets you already hold (housing, stocks) appreciate at rate q
- ▶ So the evolution of any group's wealth depends on:
 - ▶ **Initial wealth** (what you start with)
 - ▶ **Income growth** (how much you can save)
 - ▶ **Savings rate** s
 - ▶ **Return rate** q on assets held
- ▶ Derenoncourt et al. ask: **which of these matters most** for the racial wealth gap?

A thought experiment: what if Black and white Americans had had *equal* conditions since 1870?

- ▶ Take the observed income convergence between Black and white Americans as given
- ▶ Then **assume both groups had identical savings rates and capital gains rates** from 1870 onward
- ▶ Simulate: what would the wealth gap look like today?

The equal-conditions benchmark

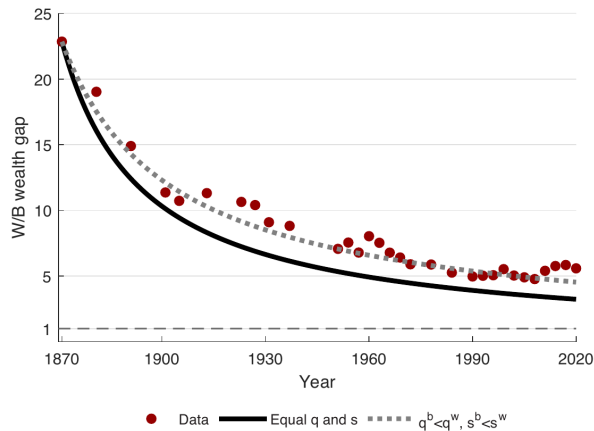


FIGURE III

Simulation of the Racial Wealth Gap: 1870–2020

Source: [Derenoncourt et al. \(QJE 2024\)](#), Figure III. Red dots: observed data. Solid black line: simulation with equal q and s from 1870

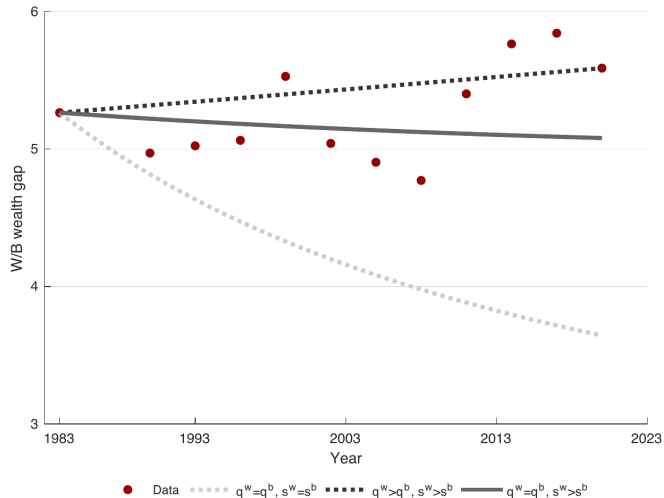
What the simulation tells us

- ▶ Even under **equal** wealth-accumulating conditions since 1870, the 1870 gap of 23:1 would still only shrink to about **3:1** today
- ▶ And full convergence would be **more than 150 years away**
- ▶ Why? Because the 1870 starting point was so extreme that even equal flows take centuries to close a stock gap that large
- ▶ **Key intuition:** the legacy of slavery is a *wealth* legacy, not just an *income* legacy. Even if you gave Black and white Americans the same savings and returns starting in 1870, it would still take 300+ years to equalize wealth
- ▶ But wait — the **observed** gap (red dots) is actually *above* the equal-conditions line. So the real world has been **even worse** than equal conditions. Why?

The slow period (1870–1930): inferior conditions matter

- ▶ Between 1870 and 1930, observed convergence was **slower** than the equal-conditions benchmark would predict
- ▶ Not surprising — this is the Jim Crow era:
 - ▶ Expropriation of Black property (Tulsa 1921, Rosewood 1923, etc.)
 - ▶ Exclusion from banks, credit, and land markets
 - ▶ Labor market discrimination
 - ▶ Legal segregation
- ▶ All of this translates into **lower savings and lower returns** for Black households relative to the equal-conditions counterfactual
- ▶ Civil rights era (1950–1980) temporarily reversed this — Black wealth grew *faster* than the benchmark
- ▶ But then something new happened after 1980...

The puzzle: the gap stopped closing after 1980



Source: [Derenoncourt et al. \(QJE 2024\), Figure V](#). Light dashed: equal q and s . Solid:

Reading Figure V

Three simulations, all starting from the 1983 gap of about 5.3:

- ▶ **Light dashed line** (equal q and s): gap would have shrunk to about 3.6 by 2020
- ▶ **Solid line** (only unequal savings): gap roughly flat, not diverging
- ▶ **Dark dashed line** (unequal q and unequal s): gap rises to 5.6 — matches the data

The only way to explain the post-1980 widening is if white households earn higher capital gains than Black households. Not income differences. Not savings differences. **Capital gains.**

Why the capital-gains gap? Portfolio composition

- ▶ Black and white households hold very different kinds of assets.
- ▶ Using the SCF+, the authors document average portfolio composition (1983–2019):

	Black	White
Housing	58%	39%
Stocks	9%	18%
Business	8%	19%
Fixed income	16%	20%
Other	9%	4%

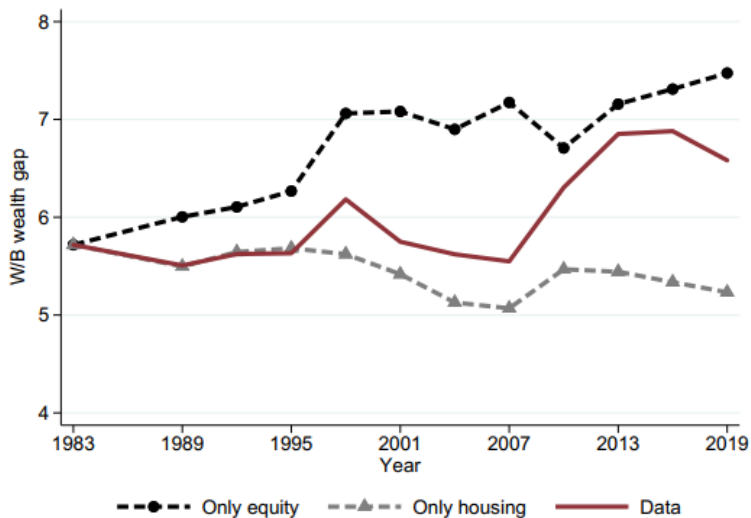
- ▶ Black households hold nearly **60% of their wealth in housing**; white households hold a much larger share in stocks and business equity

Source: *Derenoncourt et al. (QJE 2024), Table II*

Why portfolio composition matters: asset prices

- ▶ Since 1980, housing prices have roughly kept up with inflation
- ▶ But the **stock market has boomed**: roughly **5x** the real appreciation of housing
- ▶ If your wealth is mostly in houses, you barely participated in that boom
- ▶ If your wealth is mostly in stocks and business equity, you got rich
- ▶ So the stock-market boom has **disproportionately benefited white households** — not because of discrimination in a specific market, but because of whose wealth was already exposed to equity

Capital gains counterfactual: what if only stocks had appreciated?



(a) Capital gains from equity and housing separately

Reading Figure VI

- ▶ **Dashed black line (only equity gains):** the wealth gap would have **grown by 40%** (from 5.7 to 8.0)
- ▶ **Dashed gray line (only housing gains):** the wealth gap would have **shrunk by 21%** (from 5.7 to 5.2)
- ▶ **Solid red line (actual data):** the observed gap widened modestly
- ▶ Takeaway: the two forces partly offset each other, but **equity gains dominate** because equity appreciated so much more than housing
- ▶ If we give Black households housing gains and no equity gains, they lose ground to white households who get both

Stepping back: what the paper tells us

Four lessons for thinking about the racial wealth gap:

1. **Initial conditions matter for centuries.** Starting at 56:1 in 1860 set a trajectory that even equal conditions cannot fully undo in 150 years — let alone an environment of continued discrimination
2. **The post-1980 stall is not about income or savings.** Black-white income convergence stalled, but that alone does not explain the widening gap. The dominant force is that white households were more exposed to the stock-market boom
3. **Capital gains are the modern driver.** In a world of high wealth-to-income ratios, asset price movements matter more than savings flows
4. **Portfolio differences are the mechanism.** Black households' wealth is concentrated in housing; white households' wealth is more diversified into stocks and business equity — assets that have boomed since 1980

Implications for policy

- ▶ If the *only* wealth-accumulating condition you equalize is income (the target of most traditional anti-poverty policy), the wealth gap would **still** take 200+ years to close
- ▶ Two kinds of policies can attack the wealth gap:
 - ▶ **Stock-based** (e.g., reparations, baby bonds): directly change the wealth you start with. These can move the gap immediately
 - ▶ **Flow-based** (e.g., financial inclusion, portfolio diversification, education and labor market policies): change the savings and returns going forward
- ▶ The authors argue these are **complementary**: a one-time transfer without equalizing the flows would wear off over generations; equalizing the flows without addressing the stock would take centuries
- ▶ Closing the wealth gap requires **both**